# Other forecasters' expectations August 2019

Every three months, the Bank asks a sample of external forecasters for their latest economic projections. The key findings of the Bank's latest Survey of External Forecasters, conducted during July, are summarised in Box 7 of the August 2019 *Inflation Report*. The tables in this document contain the average of external forecasters' central expectations, and distributions, for CPI inflation, GDP growth, the LFS unemployment rate, Bank Rate, the stock of purchased gilts and the stock of purchased corporate bonds. They also contain the average of external forecasters' expectations for the sterling exchange rate.

This document contains four tables:

- Table 1 shows the averages of other forecasters' central projections;
- Table 2 shows other forecasters' probability distributions for CPI inflation, GDP growth and the LFS unemployment rate;
- Table 3 shows the averages of other forecasters' expectations for Bank Rate, the stock of purchased gilts, the stock of purchased corporate bonds and the sterling exchange rate; and
- Table 4 shows other forecasters' probability distributions for Bank Rate, the stock of purchased gilts and the stock of purchased corporate bonds.

**Table 1** Averages of other forecasters' central projections[(a)]

| | 2020 Q3 | 2021 Q3 | 2022 Q3 |
|---|---|---|---|
| CPI inflation[(b)] | 2.0 | 2.0 | 2.0 |
| GDP growth[(c)] | 1.5 | 1.6 | 1.7 |
| LFS unemployment rate | 4.0 | 4.2 | 4.4 |

Source: Projections of outside forecasters as of 19 July 2019.

(a) For 2020 Q3, there were 21 forecasts for CPI inflation, 21 for GDP growth and 19 for the unemployment rate. For 2021 Q3, there were 18 forecasts for CPI inflation, 18 for GDP growth and 17 for the unemployment rate. For 2022 Q3, there were 16 forecasts for CPI inflation, 15 for GDP growth and 14 for the unemployment rate.
(b) Twelve-month rate.
(c) Four-quarter percentage change.

**Table 2** Other forecasters' probability distributions for CPI inflation, GDP growth and the LFS unemployment rate[(a)(b)]

### CPI inflation

| Probability, per cent | Range: | | | | | | |
|---|---|---|---|---|---|---|---|
| | <0% | 0–1% | 1–1.5% | 1.5–2% | 2–2.5% | 2.5–3% | ≥3% |
| 2020 Q3 | 1 | 5 | 12 | 30 | 33 | 12 | 7 |
| 2021 Q3 | 2 | 6 | 13 | 29 | 30 | 12 | 9 |
| 2022 Q3 | 3 | 7 | 12 | 27 | 30 | 14 | 7 |

### GDP growth

| Probability, per cent | Range: | | | | | |
|---|---|---|---|---|---|---|
| | <-1% | -1–0% | 0–1% | 1–2% | 2–3% | ≥3% |
| 2020 Q3 | 4 | 10 | 21 | 44 | 18 | 4 |
| 2021 Q3 | 3 | 10 | 20 | 39 | 22 | 6 |
| 2022 Q3 | 3 | 9 | 19 | 38 | 23 | 7 |

### LFS unemployment rate

| Probability, per cent | Range: | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | <4% | 4–4.5% | 4.5–5% | 5–5.5% | 5.5–6% | 6–6.5% | 6.5–7% | 7–7.5% | 7.5–8% | ≥8% |
| 2020 Q3 | 31 | 31 | 20 | 11 | 4 | 2 | 1 | 0 | 0 | 0 |
| 2021 Q3 | 22 | 30 | 23 | 14 | 6 | 3 | 1 | 0 | 0 | 0 |
| 2022 Q3 | 15 | 25 | 27 | 17 | 8 | 4 | 2 | 1 | 1 | 0 |

Source: Projections of outside forecasters as of 19 July 2019.

(a) For 2020 Q3, 19 forecasters provided the Bank with their assessment of the likelihood of 12-month CPI inflation falling in the ranges shown above, 18 provided for four-quarter GDP growth falling in the ranges shown above and 16 forecasters provided for the unemployment rate falling in the ranges shown above. For 2021 Q3, 19 forecasters provided for CPI inflation, 18 provided for four-quarter GDP growth and 16 forecasters provided for the unemployment rate. For 2022 Q3, 16 forecasters provided for CPI inflation, 15 provided for four-quarter GDP growth and 13 forecasters provided for the unemployment rate. Rows may not sum to 100 due to rounding.
(b) Projections on the boundary of these ranges are included in the upper range, for example a projection of inflation being 2% is in the 2–2.5% range.

**Table 3** Averages of other forecasters' expectations for Bank Rate, the stock of purchased gilts, the stock of purchased corporate bonds and the sterling exchange rate(a)

| | 2020 Q3 | 2021 Q3 | 2022 Q3 |
|---|---|---|---|
| Bank Rate (per cent) | 0.9 | 1.2 | 1.4 |
| Stock of purchased gilts (£ billions)(b) | 439 | 440 | 441 |
| Stock of purchased corporate bonds (£ billions)(b) | 11 | 11 | 11 |
| Sterling ERI | 78.9 | 79.7 | 80.0 |

Source: Projections of outside forecasters as of 19 July 2019.

(a) For 2020 Q3, there were 21 forecasts for Bank Rate, 14 for the stock of purchased gilts, 10 for the stock of purchased corporate bonds and 9 for the sterling ERI. For 2021 Q3, there were 17 forecasts for Bank Rate, 11 for the stock of purchased gilts, 7 for the stock of purchased corporate bonds and 9 for the sterling ERI. For 2022 Q3, there were 15 forecasts for Bank Rate, 9 for the stock of purchased gilts, 5 for the stock of purchased corporate bonds and 9 for the sterling ERI.
(b) Original purchase value. Purchased via the creation of central bank reserves.

**Table 4** Other forecasters' probability distributions for Bank Rate, the stock of purchased gilts and the stock of purchased corporate bonds(a)(b)

**Bank Rate**

| Probability, per cent | Range: | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | <0% | 0–0.5% | 0.5–1% | 1–1.5% | 1.5–2% | 2–2.5% | 2.5–3% | 3–3.5% | 3.5–4% | ≥4% |
| 2020 Q3 | 2 | 21 | 44 | 24 | 7 | 2 | 1 | 0 | 0 | 0 |
| 2021 Q3 | 2 | 18 | 25 | 27 | 16 | 4 | 4 | 2 | 1 | 0 |
| 2022 Q3 | 2 | 11 | 22 | 23 | 21 | 8 | 5 | 4 | 3 | 1 |

**Stock of purchased gilts**

| Probability, per cent | Range (£ billions): | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | <225 | 225–275 | 275–325 | 325–375 | 375–425 | 425–475 | 475–525 | ≥525 |
| 2020 Q3 | 0 | 0 | 0 | 0 | 3 | 73 | 21 | 2 |
| 2021 Q3 | 0 | 0 | 0 | 1 | 6 | 68 | 20 | 4 |
| 2022 Q3 | 0 | 0 | 1 | 3 | 11 | 59 | 21 | 6 |

**Stock of purchased corporate bonds**

| Probability, per cent | Range (£ billions): | | | | | |
|---|---|---|---|---|---|---|
| | <2 | 2–5 | 5–10 | 10–15 | 15–20 | ≥20 |
| 2020 Q3 | 1 | 2 | 17 | 60 | 17 | 3 |
| 2021 Q3 | 3 | 2 | 17 | 59 | 16 | 2 |
| 2022 Q3 | 4 | 3 | 20 | 51 | 17 | 5 |

Source: Projections of outside forecasters as of 19 July 2019.

(a) For 2020 Q3, 18 forecasters provided the Bank with their assessment of the likelihood of Bank Rate falling in the ranges shown above, 9 provided for the stock of purchased gilts falling in the ranges shown above and 7 forecasters provided for the stock of purchased corporate bonds falling in the ranges shown above. For 2021 Q3, 17 provided for Bank Rate, 9 provided for the stock of purchased gilts and 7 provided for the stock of purchased corporate bonds. For 2022 Q3, 15 provided for Bank Rate, 8 provided for the stock of purchased gilts and 6 provided for the stock of purchased corporate bonds. Rows may not sum to 100 due to rounding.
(b) Projections on the boundary of these ranges are included in the upper range, for example a projection of Bank Rate being 0.5% is in the 0.5–1% range.